

3NF — Transitive Dependency Removal

Before 3NF — transitive FD

LOCAL_BANK
institution_id PK
bank_tier_type
base_rate ·
kink_utilisation · max_rate

institution_id →
bank_tier_type → rates

Transitive FD eliminated
— rates in dedicated
entity

extract

After 3NF — extracted entity

LOCAL_BANK
institution_id PK
bank_tier_type FK_ref

FK

INTEREST_RATE_TIER
tier_id PK
base_rate ·
kink_utilisation · max_rate